Keys to Writing A Complete & Sufficient SAR Narrative

How to Prepare a Complete & Sufficient SAR Narrative

Note: The following slides represent suggestions to enhance the writing of a SAR narrative. This information should be used in conjunction with the instructions provided with the appropriate SAR form used by your institution & through guidance issued by FinCEN & regulatory authorities.

The Importance of Filing a SAR

1. Identifies potential & actual illegal activity:
   - Money laundering
   - Terrorist financing
   - Other financial fraud & abuse
2. Detects & prevents flow of illicit funds
3. Establishes emerging threats through analysis of patterns & trends
4. It's required by law!

#1 Rule:

Do not assume the reader is familiar with your institution's internal terminology, acronyms, operational processes, or has other knowledge related to the reported violation.

The Narrative should:

- Be ***concise*** & ***clear***
- Provide a ***detailed*** *description* of the known or suspected criminal violation or suspicious activity
- ***Identify*** the essential elements of *information* (the 5 W's)
- Be ***chronological & complete***

- **The 5 "W's" of Information**

Who?

What?

When?

Where?

Why?

"How?"can be important, too!

- ***Who*** is conducting the criminal or suspicious activity?

  Describe additional details about the suspect(s) other than those provided earlier in the SAR form (Part I for SAR-MSB, SAR-SF & SAR-C or Part II for the depository institution SAR) :

  - Employer & occupation information
  - Relationship between the suspect & the filing institution
  - Length of the financial relationship

- ***What*** instruments or mechanisms facilitate the suspect activity/transactions?

  Identify & describe the transactions raising the suspicions of the financial institution. Examples include:

  - Cash deposits and/or withdrawals
  - Checks & other monetary instruments (money orders; traveler's checks; cashiers or bank checks)

- Additional types of transactions raising the suspicions of the financial institution:
  - Wire or other electronic transfers (ATM, ACH)
  - Cash Letters, Pouch Activity or other correspondent account activity
  - Stocks, bonds or notes
  - Casino chips or markers
  - Foreign currency

- ***When*** did the criminal or suspicious activity occur?
  - If a one-time occurrence, identify the date
  - If a pattern of activity occurred over a span of time, state when the activity first initiated and then describe the activity during the duration
  - Identify when the activity was detected

- ***Where*** did the suspicious activity take place?
  - Identify the branch/department location or locations within the institution where the activity occurred (name of branch, office or department and the street address for each)
  - Identify all account numbers & types of accounts affected by the transactions/activity
  - Indicate if suspect transactions involve other domestic or international banks & identify the banks, their locations, account numbers, etc.

- ***Why*** does the institution think the activity is suspicious?
  - First, describe the filer's type of institution (i.e., XYZ Bank is a commercial bank with 400 branches located in 5 northeastern states; Send Money Quick is an international money transmitter with five offices in metropolitan Pretend City; We Make U Money is a securities broker, etc.)

- ***Why*** does the institution think the activity or transaction is suspicious (cont.)?
  - Next, describe concisely but fully, why the institution considers the activity as suspicious
  - Be sure to include any relevant information about suspicious customer activity that the institution has in its files at the time the SAR is filed

- ***How*** did the suspicious activity occur?
  - In a concise, accurate and logical manner, describe how the suspect transaction or pattern of transactions were completed
  - For account activity, provide as completely as possible an explanation of the cycle of funds including the source of the funds in the account & application of those funds

- **Suggested structure of the narrative**

1. Introduction
2. Body
3. Conclusion

1. The Introduction

- Provide a brief statement of the SAR's purpose
- Generally describe the known or suspected violation
- Identify the date of any SARs previously filed on the subject & the purpose of that SAR
- Indicate any internal investigative numbers used by the filing institution to maintain records of the SAR

2. The Body

- Provide the relevant facts about all parties facilitating the suspect activity or transactions

Answers ***Who?***

2. The Body (cont.)

- Identify all involved accounts and transactions in chronological order by date and amount – do not use or insert tabular objects, tables, or pre-formatted spread sheets

Answers ***What? Where? When?***

2. The Body (cont.)

- Explain in detail the filer's position that the activity or transaction is illegal or suspicious

Answers ***Why?***

2. The Body (cont.)

- Describe the method of operation of the subject:
  - Manner in which the activity and/or transactions were completed;
  - Any relationship to other transactions, accounts, conductors, etc.; and
  - Subsequent results of the activity

Answers ***How?***

3. The Conclusion

- Summarize the report & include:
  - Any planned or completed follow-up actions by the institution
  - Names & telephone numbers of persons with additional information about the reported activity
  - Location within the institution where all SAR-related records are maintained

Important Reminder

Do not include any supporting documentation or attachments to the SAR when filed

Financial institution shall retain for ***5 years*** from the date of the filing:

- A copy of any SAR filed; ***and***
- The original or business record of ***any*** supporting documentation; ***and***
- Make all supporting documentation available to FinCEN & any appropriate law enforcement agencies or regulatory authorities

- **Another Important Reminder**

  Federal law requires that a financial institution, & its directors, officers, employees, and agents who, voluntarily or by means of a suspicious activity report, report suspected or known criminal violations or suspicious activity may not notify any person involved in the transaction that the transaction has been reported.

Questions?

Call the FinCEN Regulatory Help Line at 1-800-949-2732